

Paradiem

The Morning Brief

JULY 31, 2026

Cap-Ex Vindication

MSFT rip and AMZN AWS 37% steady the AI-cap-ex thesis into a moderating crude tape and CVX pre-open.

S&P 500 (THU)	NASDAQ (THU)	BRENT (BNO THU)	Q2 GDP / CORE PCE	FEAR & GREED
\$741.69 · ↑1.68% · MSFT-led broad rip	\$683.55 · ↑3.30% · chips ripped	\$49.66 · ↓1.53% · flows despite war per Reuters	1.5% adv. vs 2.1% est. · Core PCE 3.3% Y/Y per BEA	CNN "Fear" per Benzinga · data drop crypto fallback 25

Markets — The Microsoft Post-Close Print Delivered a Nearly \$492B One-Day Market-Cap Gain per Bloomberg — Reportedly the Largest Single-Session Increase by Any Company on Record — With Azure Approximately 43% Constant-Currency Growth and FY27 Q1 Azure Guide Approximately 45% per FXLeaders, and Amazon's After-Close Print Delivered AWS Approximately 37% Growth (Reportedly Fastest in 18 Quarters) With Cash CapEx Guided Higher to Approximately \$220B on Memory-Cost Pass-Through per Andy Jassy; Apple Beat Q3 With iPhone ↑22% Y/Y but Services Missed and the Company Cited Supply Constraints for the September Quarter Guide per CNBC / Yahoo — Shares Fell Approximately 3–6% After Hours per Multiple Reports

MICROSOFT'S APPROXIMATELY 15% SESSION RIP ADDED APPROXIMATELY \$492B IN MARKET VALUE PER BLOOMBERG / GURUFOCUS — REPORTEDLY THE LARGEST SINGLE-DAY GAIN FOR ANY COMPANY ON RECORD — AND BROKE A BROAD BID IN THE CHIP COHORT AS LRCX CLOSED ↑17.98% AT \$297.72, AMD ↑13.00% AT \$485.39, MRVL ↑12.18% AT \$183.30, CRDO ↑13.32% AT \$201.08, AND TSM ↑7.64% AT \$403.31 PER DATA DROP; THE S&P 500 CLOSED ↑1.68% AT \$741.69 AND THE NASDAQ ↑3.30% AT \$683.55 AS THE MERCHANT-SILICON RESET FULLY REVERSED

Per Bloomberg and GuruFocus coverage of Thursday's tape, Microsoft shares closed approximately ↑15% and added approximately \$492B in market value — a figure Bloomberg and multiple secondary outlets characterized as the largest single-day gain by any company on record, and Yahoo framed as MSFT's best single-session performance in nearly 18 years. Per FXLeaders coverage of the print, Microsoft reported Q4 FY26 revenue of approximately \$90.01B and EPS of \$4.74 with Azure ↑43% at constant currency, and management guided Q1 FY27 Azure growth near 45% versus consensus near 41%. Per data drop, the merchant-silicon cohort reset entirely reversed with LRCX ↑17.98% at \$297.72 (top of the Dividend sleeve), AMD ↑13.00% at \$485.39, MRVL ↑12.18% at \$183.30, CRDO ↑13.32% at \$201.08, KEYS ↑5.38% at \$312.69, NVDA ↑2.65% at \$195.04, TSM ↑7.64% at \$403.31, and ADI ↑3.76% at \$366.67. Per Yahoo coverage of the after-hours tape, memory-cohort names (MU, SNDK, WDC, and US-listed SKHY) traded higher after Amazon and Apple management commentary flagged soaring costs and a supply crunch. For FCI positioning, the Azure acceleration and the Q1 FY27 45% Azure guide reinforce the physical AI infrastructure thesis that has anchored the Utility-AI-power sleeve (VST ↑4.07% at \$148.62, CEG ↑2.17% at \$263.56) and the merchant-silicon composition (AMD, MRVL, CRDO), and the Thursday session composition — Tech (XLK) ↑5.50%, Industrials (XLI) ↑0.98%, Discretionary (XLY) ↑0.70% against Communication Services (XLC) ↓2.68% and Staples (XLP) ↓2.16% per data drop — showed a clean growth / cyclical bid replacing the Wednesday defensive rotation.

MSFT SESSION (THU)	Approx. ↑15% · approx. \$492B market value added per Bloomberg · Largest single-day gain by any company on record per Bloomberg
AZURE GROWTH / GUIDE	Q4 approx. 43% CC · Q1 FY27 guide approx. 45% vs. consensus approx. 41% per FXLeaders
AMZN POST- CLOSE	Shares approx. ↑9% AH per Yahoo · Revenue \$200.6B (+20%) · AWS \$42.2B (+37%, fastest in 18 quarters) · Op. income \$27.5B (+43%)
AMZN CAPEX GUIDE	Approx. \$220B FY26 (up from approx. \$200B) · Jassy cited memory-cost pass-through per Q2 call transcript coverage
AAPL POST- CLOSE	Approx. ↓3–7% AH per CNBC / Bloomberg · Rev \$109.42B beat · EPS \$2.02 beat · iPhone \$54.25B (+22% Y/Y) · Services \$30.74B miss vs. \$31.22B est
AAPL SEP. GUIDE	Cited “supply constraints” per CNBC coverage · weak forward guide framed the after-hours give-back
THU SECTOR SPLIT	XLK ↑5.50% · XLI ↑0.98% · XLE ↑0.53% vs. XLC ↓2.68% (META) · XLP ↓2.16% · XLV ↓1.64%
CARSON'S SPY SUPPORT	\$645.80 active · Thu range \$734.59–\$742.45 · not hit

THE 8:30 AM ET Q2 GDP ADVANCE ESTIMATE PRINTED AT 1.5% ANNUALIZED VERSUS CONSENSUS NEAR 2.1% PER INVESTINGLIVE / BEA RELEASE, AND JUNE PCE COOLED TO 3.7% HEADLINE / 3.3% CORE YEAR-OVER-YEAR PER BEA WITH HEADLINE –0.1% M/M AND CORE ↑0.1% M/M (UNDERSHOOTING THE 0.2% ESTIMATE) — THE COMPOSITION FRAMES A SOFTER GROWTH / MODESTLY COOLER INFLATION READ INTO THE SEPTEMBER FOMC SETUP WHILE KALSHI PLACES SEPTEMBER HIKE ODDS NEAR 54% AND FED FUNDS FUTURES FRAMINGS RANGE APPROXIMATELY 57–80% PER MULTIPLE OUTLETS

Per BEA release coverage cited across UPI and InvestingLive, real Q2 GDP grew at an annualized 1.5% versus consensus near 2.1%, a deceleration from the Q1 2.1% pace, with imports (a subtraction) increasing more materially in Q2. Per BEA release cited across Bloomberg, Advisor Perspectives, and Quartz coverage, June headline PCE printed at 3.7% year-over-year and Core PCE at 3.3% year-over-year (down from May's 3.4%), with headline PCE –0.1% month-over-month and Core ↑0.1% month-over-month — the Core M/M print undershot the 0.2% market estimate. Per Kalshi coverage cited across news feeds, September rate-hike odds sit near 54% following the Wednesday hold, while Bitcoin.com News framed Fed funds futures pricing near 80% and CBS News / other outlets cited CME FedWatch near 61.4% — a disper-

sion band that keeps the September meeting genuinely live in either direction. For the FCI Dividend and Utility sleeves, Thursday's composition — ADP ↓3.48% at \$263.87 (post-print give-back), NEE ↓0.60% at \$87.93, ATO ↓1.92% at \$174.26, EIX ↑0.13% at \$78.73 (into today's CVX print) — showed the higher-for-longer positioning giving back a portion of the Wednesday bid as the growth-cyclical composition took the tape, while TLT held roughly flat at \$82.80 (↓0.06%). **Simplicity Over Complexity.**

CHEVRON REPORTS PRE-OPEN THIS MORNING WITH CONSENSUS NEAR \$5.79–\$5.81 EPS ON APPROXIMATELY \$57.5B REVENUE PER ZACKS / TRADINGVIEW — THE PRINT LANDS INTO A MATERIALLY MODERATING CRUDE TAPE (BNO ↓1.53% AT \$49.66, USO ↓1.42% AT \$127.48 PER DATA DROP) AND REUTERS COVERAGE THAT PHYSICAL FLOWS ARE HOLDING UP DESPITE THE US–IRAN KINETIC SEQUENCE; CL AND CHD ALSO REPORT PRE-MARKET WITH FCI CONSENSUS APPROXIMATELY \$0.98 EPS AND \$0.91 EPS RESPECTIVELY PER DATA DROP

Per Zacks and TradingView preview coverage cited across Yahoo Finance, Chevron reports Q2 2026 pre-open with consensus near approximately \$5.81 EPS on approximately \$57.5B revenue (a figure Zacks framed as approximately ↑228% year-over-year from \$1.77 in the prior-year quarter), with the market focus centered on upstream production volumes, realized commodity prices, and Middle East margin contribution. Per Reuters headline coverage cited in the data drop (“Oil falls more than \$1 on greater flows despite US-Iran war”), the crude complex moderated on the Thursday session even as the kinetic sequence continues, and per data drop, Chevron closed Thursday ↑0.23% at \$192.31 into the print with the Upstream sleeve composition mixed (CNX ↓0.26% at \$34.61 post-beat, OKE ↓1.03% at \$89.07). Per data drop consensus, Colgate-Palmolive (CL) reports pre-market with approximately \$0.98 EPS and Church & Dwight (CHD) with approximately \$0.91 EPS — both Staples names into a XLP sector composition that gave back ↓2.16% Thursday per data drop and closed at \$91.60 (↓2.02%) and \$97.68 (↓2.18%) respectively. The CVX print sits at the intersection of the widened Middle East attack surface (which Shell's Q2 profit doubling to approximately \$9.8B on the Iran repricing already validated per Reuters coverage referenced in the Thursday brief) and a moderating front-month crude tape, and the read-through will inform the Upstream sleeve

positioning through the weekend catalyst window. **Think**

Like an Owner.

The Microsoft / Amazon prints delivered a twin AI-CapEx affirmation with AWS approximately 37% and Azure approximately 43% both accelerating, and Amazon's CapEx guide lift to approximately \$220B on memory-cost pass-through validates the physical AI infrastructure thesis even as Apple's services miss and supply-constrained September guide inject a hardware-demand caution into the same tape; the Q2 GDP miss at 1.5% alongside Core PCE cooling to 3.3% frames a softer growth / modestly cooler inflation setup into the September FOMC while CVX prints into a moderating crude complex. Research Reveals Opportunities.

SECTION 02

Geopolitics — The Iran War's Attack Surface Widens Beyond the Persian Gulf as a Drone Strike Damaged Two Gas Tankers at Egypt's Damietta Port per CNBC / Reuters and Renewed Security Concerns About the Nearby Suez Canal and Sumed Pipeline; Sumed Loadings Have Risen to Approximately 28.79 Million Barrels in July per Reuters From Approximately 19.52 Million in April Before the Houthi Bab el-Mandeb Threat — Meanwhile, Physical Flows Have Held Up Enough to Send Oil Modestly Lower per Reuters Even as Fewer Than 10 Ships Cleared Hormuz Monday Versus a Normal Cadence Near 100

PER CNBC AND REUTERS COVERAGE OF THE WEDNESDAY-THURSDAY TAPE, A DRONE STRIKE DAMAGED TWO GAS TANKERS AT EGYPT'S DAMIETTA PORT ON THE MEDITERRANEAN — NO PARTY HAS CLAIMED RESPONSIBILITY — AND PER AL-MONITOR / REUTERS, THE ATTACK RENEWED SECURITY CONCERNS ABOUT THE NEARBY SUEZ CANAL AND THE SUMED PIPELINE THAT RUNS FROM THE RED SEA TO SIDI KERIR; SAUDI ARABIA UNVEILED PLANS FOR A MULTINATIONAL MARITIME DEFENSE COALITION PER REUTERS HEADLINE COVERAGE IN THE DATA DROP

Per CNBC coverage of the Wednesday-Thursday tape, Egyptian authorities confirmed a drone strike damaged two gas tankers at the port of Damietta, located on the Nile Delta branch close to the Mediterranean. Per Reuters analysis coverage cited across Al-Monitor and BOE Report, the attack has renewed security concerns about the nearby Suez Canal and the Sumed pipeline (which runs from the Red Sea to the Mediterranean port of Sidi Kerir) — a vital export route for Saudi Arabian crude since the beginning of the Iran war. Per the same Reuters coverage, Sumed crude loadings have risen to approximately 28.79 million barrels in July from approximately 19.52 million in April, before the Houthis' July 20 threat to prevent Saudi oil exiting via Bab el-Mandeb — a flow shift that made the Egyptian infrastructure corridor incrementally more critical to the physical-flow architecture. Per Reuters headline coverage cited in the data drop, Saudi Arabia unveiled plans for a multinational maritime defense coalition, and the US issued sanctions targeting support networks for Iran's Mahan Air. For the FCI Upstream and Defense sleeves, Thursday's composition — CVX ↑0.23% at \$192.31 (into today's pre-market print), CNX ↓0.26% at \$34.61 (post-beat), OKE ↓1.03% at \$89.07, LMT ↑0.86% at \$574.11, GD ↑0.33% at \$382.20 — showed the Upstream sleeve holding into the moderating crude tape while the Defense sleeve traded modestly higher on the widening sovereign-participation architecture. **The physical world matters.**

PHYSICAL FLOWS HAVE BEEN ROBUST ENOUGH TO PUSH OIL LOWER EVEN AMID THE CONTINUED KINETIC SEQUENCE PER REUTERS — BNO CLOSED THURSDAY ↓1.53% AT \$49.66 AND USO ↓1.42% AT \$127.48 PER DATA DROP — EVEN AS CNN REPORTED FEWER THAN 10 COMMODITY SHIPS CLEARED THE STRAIT OF HORMUZ MONDAY MORNING VERSUS A NORMAL CADENCE NEAR 100 VESSELS; THE COMPOSITION SETS A COMPLEX BACKDROP FOR THE CHEVRON PRE-OPEN PRINT

Per Reuters headline coverage cited in the data drop (“Oil falls more than \$1 on greater flows despite US-Iran war”), the crude complex moderated on the Thursday session as re-routing and released volumes offset the widened attack-surface pricing that had catalyzed the Wednesday BNO ↑7.89% and USO ↑7.32% moves per the Thursday brief data. Per CNN and Wikipedia coverage of the 2026 Strait of Hormuz crisis, fewer than 10 commodity ships cleared the strait Monday morning versus a normal cadence near 100 vessels — a physical throughput gap that keeps the choke-point architecture materially constrained even as physical flows through the alternative infrastructure (Sumed, Red Sea repositioning, LNG cargo swaps referenced in Thursday’s brief) partially compensate. For FCI positioning, the moderating front-month tape into a widening attack surface reinforces the framing that the crude complex is oscillating between the physical-cash-flow-supportive higher-for-longer

regime (which validated Shell’s approximately \$9.8B Q2 profit doubling per Reuters coverage referenced in the Thursday brief) and the flow-normalization retrace — a composition that keeps the CVX pre-open print pivotal for the Upstream sleeve read into the August catalyst window.

Avoid Erosion.

DAMIETTA PORT STRIKE	Drone strike damaged two gas tankers per CNBC · no party claimed responsibility
SUEZ / SUMED CONCERN	Renewed security concerns for the nearby Suez Canal and Sumed pipeline per Reuters
SUMED LOADINGS (JUL)	Approx. 28.79M bbl vs. approx. 19.52M in April per Reuters · Post-Houthi Bab el-Mandeb threat
HORMUZ THROUGHPUT	Fewer than 10 commodity ships Mon AM vs. normal cadence near 100 per CNN
SAUDI MARITIME COALITION	Multinational maritime defense coalition plans unveiled per Reuters
US SANCTIONS	Sanctions targeting support networks for Iran’s Mahan Air per Reuters
BRENT (BNO THU)	\$49.66 · ↓1.53% · oil moderated on flows per Reuters
WTI (USO THU)	\$127.48 · ↓1.42% · front-month softened per data drop

SECTION 03

On Our Radar

1. Chevron (CVX) Reports Pre-Open This Morning With Consensus Near \$5.81 EPS on Approximately \$57.5B Revenue per Zacks — The Print Frames the FCI Upstream Sleeve’s Read Into a Moderating Front-Month Crude Tape and a Widening Middle East Attack Surface; Full-Year 2026 Production Guidance of Approximately 3.98–4.10 Million Barrels of Oil Equivalent per Day per Zacks Preview Coverage Sets the Volume Reference. Per Zacks and TradingView preview coverage cited across Yahoo Finance, Chevron reports Q2 pre-open with consensus near approximately \$5.81 EPS on approximately \$57.5B revenue (a figure Zacks framed as approximately ↑228% year-over-year from \$1.77 in the prior-year quarter). Per the same preview coverage, management has reaffirmed full-year 2026 production guidance of approximately 3.98–4.10 million barrels of oil-equivalent per day, and the market focus centers on upstream production volumes, realized commodity prices, and margin contribution from geopolitical shifts. Per data drop, CVX closed Thursday ↑0.23% at \$192.31 into the print with the moderating crude tape (BNO ↓1.53%, USO ↓1.42%) as the immediate context, and the read-through will inform the CNX / OKE composition and the broader FCI Upstream sleeve positioning through the weekend catalyst window. *Think Like an Owner.*

2. Colgate-Palmolive (CL) and Church & Dwight (CHD) Also Report Pre-Market With FCI Consensus Approximately \$0.98 EPS and \$0.91 EPS Respectively per Data Drop — The Staples Cohort (XLP ↓2.16% Thursday) Absorbed a Broad Give-Back on the Growth-Cyclical Rotation, and the Two Prints Frame the FCI Consumer-Staples Sleeve Read Into a Materially Different Sector Composition Than Wednesday’s Defensive Bid. Per data drop consensus, Colgate-Palmolive (CL) reports pre-market with approximately \$0.98 EPS into a Thursday close of \$91.60 (↓2.02%), and Church & Dwight (CHD) reports pre-market with approximately \$0.91 EPS into a Thursday close of \$97.68 (↓2.18%). Both names sit within the FCI Dividend sleeve alongside ABT (↓2.21% at \$105.61 Thursday), and per data drop the Consumer Staples sector (XLP) closed ↓2.16% as the tape rotated into growth and cyclicals on the MSFT / AMZN cap-ex

validation. The Staples-sleeve read from CL / CHD prints will indicate whether the volume and pricing composition remains resilient enough to warrant the higher-for-longer positioning that has anchored the Dividend sleeve through the Fed-decision week. *Research Reveals Opportunities.*

3. Amazon's Cash CapEx Guide Lift to Approximately \$220B on Memory-Cost Pass-Through per Andy Jassy on the Q2 Call Validates the Memory-Cycle Pass-Through Narrative That Apple Also Cited as a "Supply Constraint" per CNBC — MU, SNDK, WDC, and US-Listed SKHY All Traded Higher After Hours per Yahoo, and the Composition Reinforces the Load-Growth Signal for the FCI Utility-AI-Power Sleeve (VST ↑4.07%, CEG ↑2.17% Thursday). Per Yahoo Finance coverage of the Amazon Q2 call, CEO Andy Jassy characterized 2026 cash CapEx as approximately \$220B, up from an earlier estimate near \$200B, and directly attributed the increase to higher memory costs. Per CNBC coverage of the Apple print, management cited supply constraints for the September quarter guide — a framing consistent with the memory-cycle pass-through narrative. Per Yahoo after-hours coverage, memory-cohort names (MU, SNDK, WDC, US-listed SKHY) traded between approximately 2–8% higher after hours. For the FCI framework, the composition reinforces the physical AI infrastructure thesis and the Utility-AI-power load-growth signal that has anchored VST (↑4.07% at \$148.62 Thursday) and CEG (↑2.17% at \$263.56 Thursday). *The physical world matters.*

4. Yesterday's FCI Prints Delivered Three Beats — CNX EPS \$0.72 vs. \$0.60 (Beat), EIX EPS \$1.54 vs. \$1.17 (Beat), SYK EPS \$3.69 vs. \$3.52 (Beat) per Data Drop — Though the Session Composition Was Dominated by the MSFT-Led Rip; The Beat-and-Give-Back Pattern That Anchored Recent Prints Was Overridden by the Cap-Ex-Validation Session Bid. Per data drop, three FCI names printed Thursday pre-market: CNX Resources EPS \$0.72 vs. \$0.60 consensus (beat) into a Thursday close of \$34.61 (↓0.26%); Edison International EPS \$1.54 vs. \$1.17 consensus (beat) into a Thursday close of \$78.73 (↑0.13%); Stryker EPS \$3.69 vs. \$3.52 consensus (beat) into a Thursday close of \$348.04 (↓1.20%). The three-beat composition sits alongside a defensive-cohort give-back (ADP ↓3.48% at \$263.87, GPC ↓3.96% at \$124.83, ATO ↓1.92%, CHD ↓2.18%, CL ↓2.02%, ABT ↓2.21%) that partially reflected the sector rotation into growth and cyclicals, and the beat-and-give-back pattern that has anchored recent FCI prints was overridden by the broader cap-ex-validation session bid. *Avoid Erosion.*

5. The Digital-Asset Sleeve Delivered a Sharp Reversal — HUT ↑22.78% at \$108.27 and MARA ↑17.61% at \$11.82 Led the Rebound per Data Drop After Wednesday's Miner-Cohort Reset (HUT ↓12.81%, MARA ↓11.69%); IBIT and ETHA Both Closed Modestly Higher (IBIT ↑1.94% at \$36.70, ETHA ↑1.90% at \$14.51) as the Risk-On Composition Restored Retail-Flow Adjacent Exposure. Per data drop, the mining cohort delivered the top two FCI mover slots

on Thursday with HUT ↑22.78% at \$108.27 and MARA ↑17.61% at \$11.82 — a sharp reversal of Wednesday's reset (HUT ↓12.81%, MARA ↓11.69% per Thursday brief data). The Bitcoin and Ethereum ETF composition held the modest bid with IBIT ↑1.94% at \$36.70 and ETHA ↑1.90% at \$14.51, and HOOD gave back ↓3.61% at \$86.60 into the bottom-five FCI movers as the retail-flow adjacent give-back partially offset the miner-cohort rip. The composition indicates the risk-on rotation on the MSFT / AMZN validation extended to the miner-to-datacenter transition names and the crypto-ETF exposure, though the HOOD dislocation continues to reflect the retail-flow caution referenced across recent briefs. *Simplicity Over Complexity.*

6. Carson's SPY Support Remains Untouched Through Thursday's Session — Intraday Range of \$734.59–\$742.45 Sits Well Above the \$645.80 Retracement Target per levels.json; The MSFT / AMZN Cap-Ex Validation Alongside the Softer Q2 GDP / Cooler Core PCE Print Composition Reinforces the Pre-Committed Deployment Tranches as the Operative Discipline Into the Weekend Catalyst Window. Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Thursday's \$734.59–\$742.45 intraday range per the data drop and sits well-removed from the current tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point. For the FCI risk framework, the MSFT / AMZN cap-ex validation, the Q2 GDP miss at 1.5% alongside Core PCE cooling to 3.3%, the CVX pre-open print, and the widened Egyptian infrastructure attack surface into the weekend catalyst window reinforce that the pre-committed deployment tranches — 70% of reserves at –25% drawdown and the remaining 30% at –40% drawdown — remain the operative discipline rather than any impulse response to a single-catalyst repricing. *Research Reveals Opportunities.*